

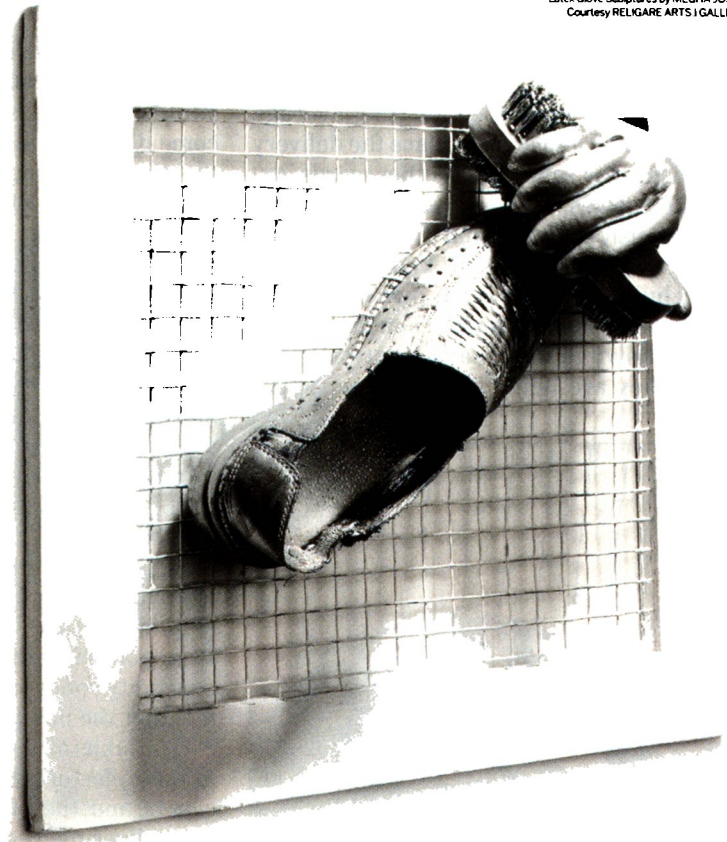
Latex Glove Sculptures by MEGHA JOSHI.
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production. What was true of Victorian England, Bismarckian Europe and the burgeoning United States of the 19th century is true of us too. In our superstructure, there are two classes of Indians: the consumer and the citizen. Our consumers number 200 million who are defined by their "effective demand", that is, the money in their pockets. The deeper the pocket, the more they matter to the market. Our citizens (a mere 800-900 million of them, and growing) are defined by their presence on the margin of the market (or, more often, right out of it) and a monetary inability to translate their "demand" for basic goods and services (food, fuel, drinking water and shelter) into "effective demand".

Every one of INDIA TODAY's readers can recite parrot-like our 9 per cent growth record through most of the last five years, and the lip-licking prospect of a return to that trajectory before the year is out, but few would know that after standing 134 on the first-ever UN Human Development Index (HDI) in 1994, the latest index places us at 132. We have slithered just two places up over the last 15 years despite a 15-fold increase in Central government budget spending on anti-poverty programmes, from around Rs 7,500 crore in 1993-94 to well over Rs 1,20,000 crore in the 2008-09 (in addition to another Rs 70,000 crore of farmers' loan waivers). There is simply no correspondence between outlays and outcomes: outlays have soared; outcomes have remained derisory.

The conventional wisdom is that higher growth leads to higher government revenues and thus opens the path to increased social sector spending. To go by the miracle in government revenues during 2004-09, this is entirely true. Anti-poverty spending rose from Rs 36,000 crore in the last year of the NDA (2003-04) to Rs 1,20,000 crore in the last year of the UPA. Yet, apart from increasing vastly the number of Indians whose income rose from Rs 8.99 per day to Rs 9.01, which is the Plimsoll Line that divides the BPL from the non-BPL, what real impact did this have on human development for the poor? Almost nothing says the UN HDI. Almost nothing adds every sectoral evaluation (primary education, primary health, etc) of the Planning Commission.

Rajiv Gandhi told us 20 years ago that 85 paise in the rupee gets spent on administrative expenses, leaving but 15 paise to actually reach the intended beneficiaries. This is one Rajiv Gandhi quote that the practitioners of the politics of poverty, both in the media and



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Parliament, have repeated ad nauseam not because it is the key to understanding the persistence of poverty but because the statement has been portrayed as a confession to corruption in high places. Because of this deliberate or ill-informed misunderstanding, the key point has been consistently missed, that we just cannot attain the 11th Plan goal of "inclusive growth" without first ensuring "inclusive governance".

In 2004, we inherited close to 300 Centrally-sponsored schemes for alleviating poverty (since reduced to about 100). Each of these schemes has its own delivery silo, all designed to deliver basic goods and services to the same set of intended beneficiaries—the poor—but so carefully insulated from the other delivery silos that there is no possibility of converging the schemes or synergising their endeavours. Each delivery system has its own set of the privileged: district and sub-district officials; comprador NGOs bowing and scraping before their

If we can repeat the performance of the last 30 years, the small-scale industries sector can generate an additional 36 million jobs by 2020.